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Recycling with the Best

Weekly Ship Recycling Report

11 January - 17 January 2025

Visit : www.best-oasis.com

Email: bol@bol.ae

Head Office: 3201, Saba Tower 1, Cluster E, Jumeirah Lake Towers, Dubai, U.A.E

Contact: +971 4575 4667

Highlights of the week

This week in ship recycling, the markets across all major destinations followed their ongoing trends, some more predictably than others. India saw no improvements—if anything, the market dipped slightly further. However, with Makar Sankranti celebrations in Gujarat, a pause in activity was expected, and there's hope that things will pick up in the coming week. Bangladesh remains in its usual cycle of brief steel price upticks followed by corrections. The bigger concern, however, is the ongoing struggle to secure bank LC approvals, as strict regulations and a persistent dollar shortage continue to limit buying activity. Pakistan, meanwhile, remains in deep freeze. For yet another week, there has been no meaningful shift, no improvements, and no surprises—just the same stagnant conditions. Lastly, Türkiye, after weeks of the same market conditions, finally saw movement, but unfortunately in the wrong direction. Prices dropped by 10 to 12 USD both locally and for imports, leaving little room for optimism. With January halfway through, the industry is watching closely for any signs of a turnaround in the coming weeks.

The latest U.S. sanctions on Russia's oil sector are reshaping global shipping, creating ripple effects across the industry. With over 180 oil tankers blacklisted, the availability of vessels to transport Russian crude has dropped, leading to rising shipping costs. Meanwhile, major buyers like China and India are shifting to other suppliers, forcing oil shipments onto longer and more expensive routes. Shipowners now face tighter compliance rules, adding new risks and complexities to their operations. As the shipping industry navigates these disruptions, it will be crucial to watch how these shifts influence the ship recycling market in the months ahead.

Exchange Rates:

USD / INR ₹

This Week	: 86.62
Previous Week	: 86.09
Lost	: 0.53

USD / BDT ৳

This Week	: 121.57
Previous Week	: 121.89
Gained	: 0.32

USD / PKR Rs

This Week	: 278.66
Previous Week	: 278.76
Gained	: 0.10

USD / TRY ₺

This Week	: 35.56
Previous Week	: 35.41
Lost	: 0.15

India

Market remains sluggish amid festivities, with hopes for activity next week.

- For this week we have seen no changes in the market, or, rather, no positive changes, as it went slightly further down. Since its the holiday season, with Makar Sankranti, which is a major festival in Gujarat, India, we can now hope for more activity in the coming week.

- India's steel exports fell 6% year-on-year in 2024 to 7.6 million tonnes from over 8 million tonnes in 2023, with flat steel exports declining to 6.3 million tonnes and semi-finished steel dropping to 746,000 tonnes. The decline is likely driven by China's aggressive steel exports, weak global demand, and intense price competition, as Chinese steel benefits from lower production costs and subsidies. Additionally, trade policies favoring Chinese imports in key markets may have further impacted India's shipments. While China's influence is a factor, broader global and domestic market conditions also contributed to the drop.

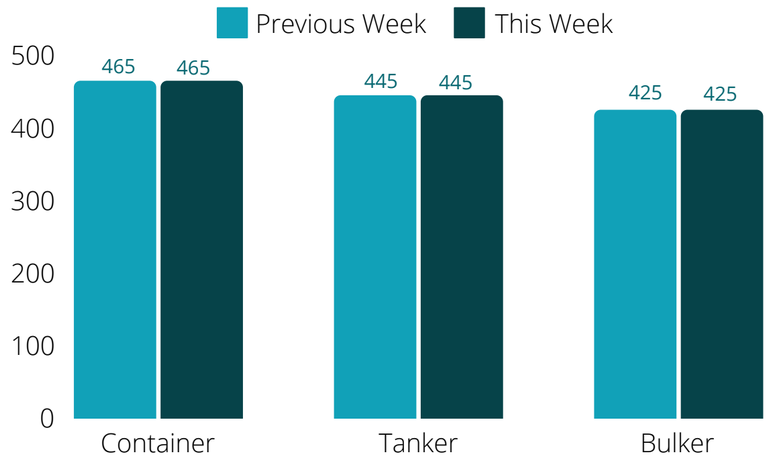
Beaching Dates

17 January to 18 January

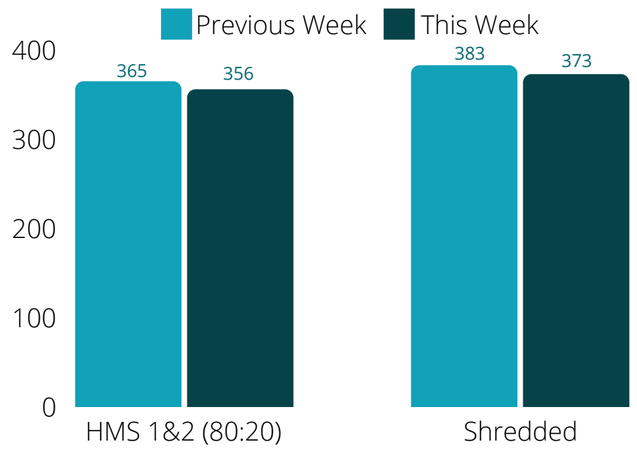
28 January to 31 January

01 February to 04 February

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

The market remains soft as steel prices decline amid uncertain demand.

- The market remains soft, with melting steel prices declining after a brief uptick last week. As usual, shortages can trigger temporary price increases, but without sustained demand, corrections follow. Market stability remains uncertain. Meanwhile, most recyclers are awaiting bank LC facilities and actively working to secure them, but strict regulations and a dollar shortage continue to hinder approvals, keeping buying activity subdued.

- Bangladesh's economy is expected to slow to 4.1% in FY25, its weakest growth since the pandemic, as political unrest in mid-2024 disrupted activity and hurt investor confidence, according to the World Bank's latest report.

- The government is introducing the Bank Regulation Act to give Bangladesh Bank (BB) the power to manage bank share transfers, mergers, liquidations, and acquisitions without owner approval. The Finance Ministry's Financial Institution Department (FID) confirmed that the central bank has already drafted the law to strengthen oversight, especially over banks linked to influential individuals and business groups.

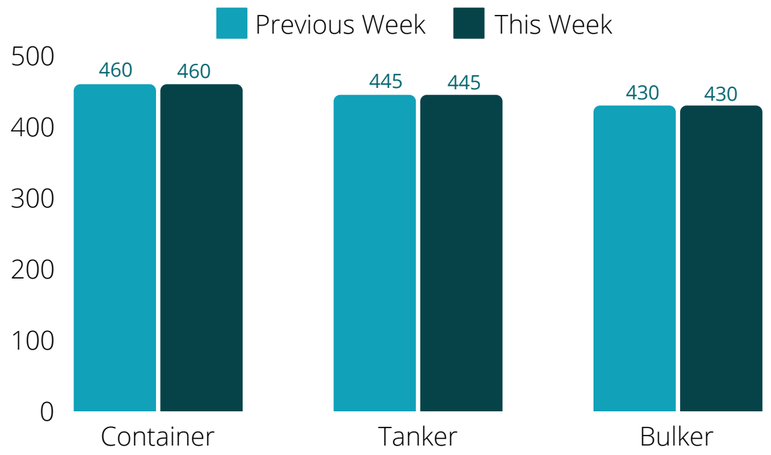
Beaching Dates

17 January to 18 January

30 January to 02 February

14 February to 17 February

Price for Recycling Ships in Bangladesh



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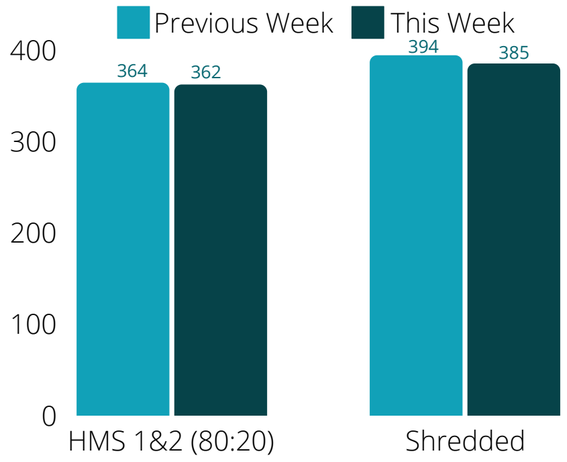


Pakistan

The market is mirroring and echoing the same sentiment for another week.

- This week the overall sentiment remains unchanged from the previous one; we have no noteworthy updates or shifts/developments to report as if the time decided to pause for another week.

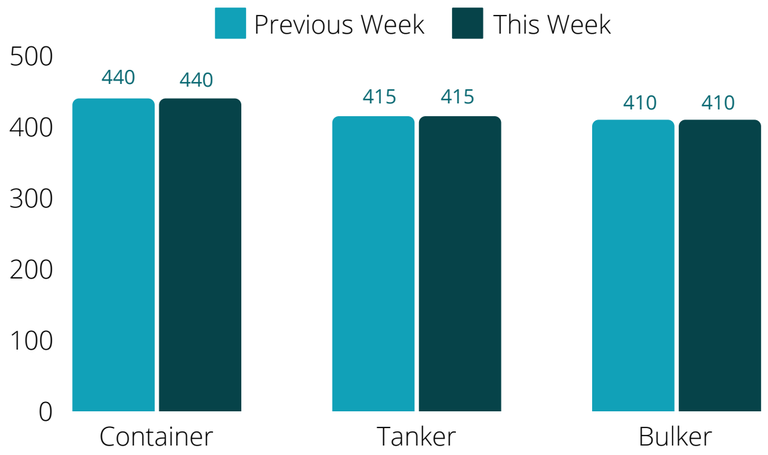
- Pakistan has finalized a significant agreement with the World Bank, securing 20 billion USD in funding over the next 10 years. It is a first-of-its-kind agreement to revive the economy, and the plan will focus on important development areas such as climate change and private sector growth.

- In a similar development, UAE has extended a 2 billion USD loan to Pakistan, adding to the ongoing efforts to uplift and revive the economy. It remains to be seen how all of this plays out for Pakistan.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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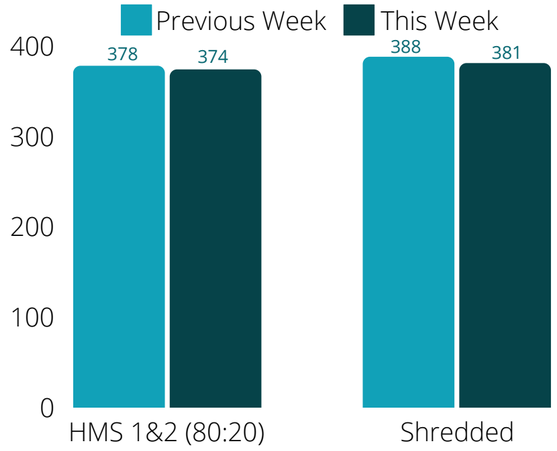


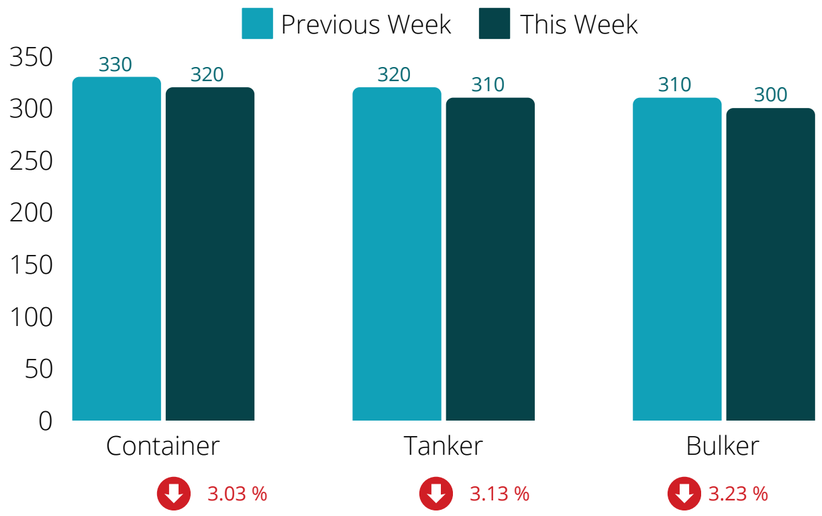
Türkiye

The market breaks prolonged standstill—but prices take a sharp downturn.

- The market in this region has shifted from last week's stagnation, but unfortunately, not in a positive direction. Prices have dropped by approximately 10 to 12 USD both locally and in imports after weeks of standstill.

- Turkey is set to receive 1 billion USD (TL 35.43 billion) from the World Bank this year to support the rebuilding of regions affected by the devastating earthquakes. With this latest contribution, the total assistance from the World Bank to Turkey since the 2023 earthquakes will reach 4 billion USD.

Price for Recycling Ships in Türkiye



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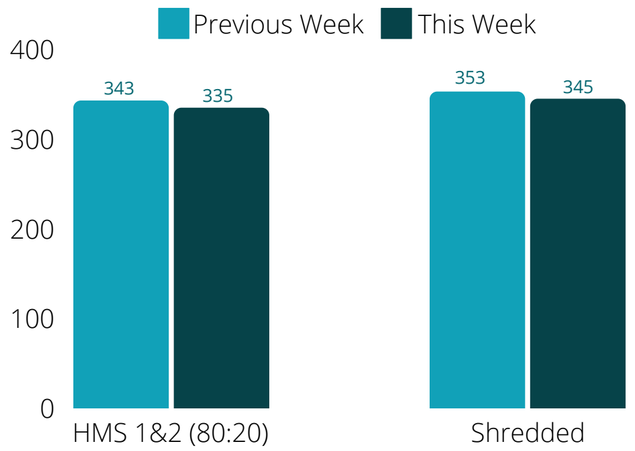
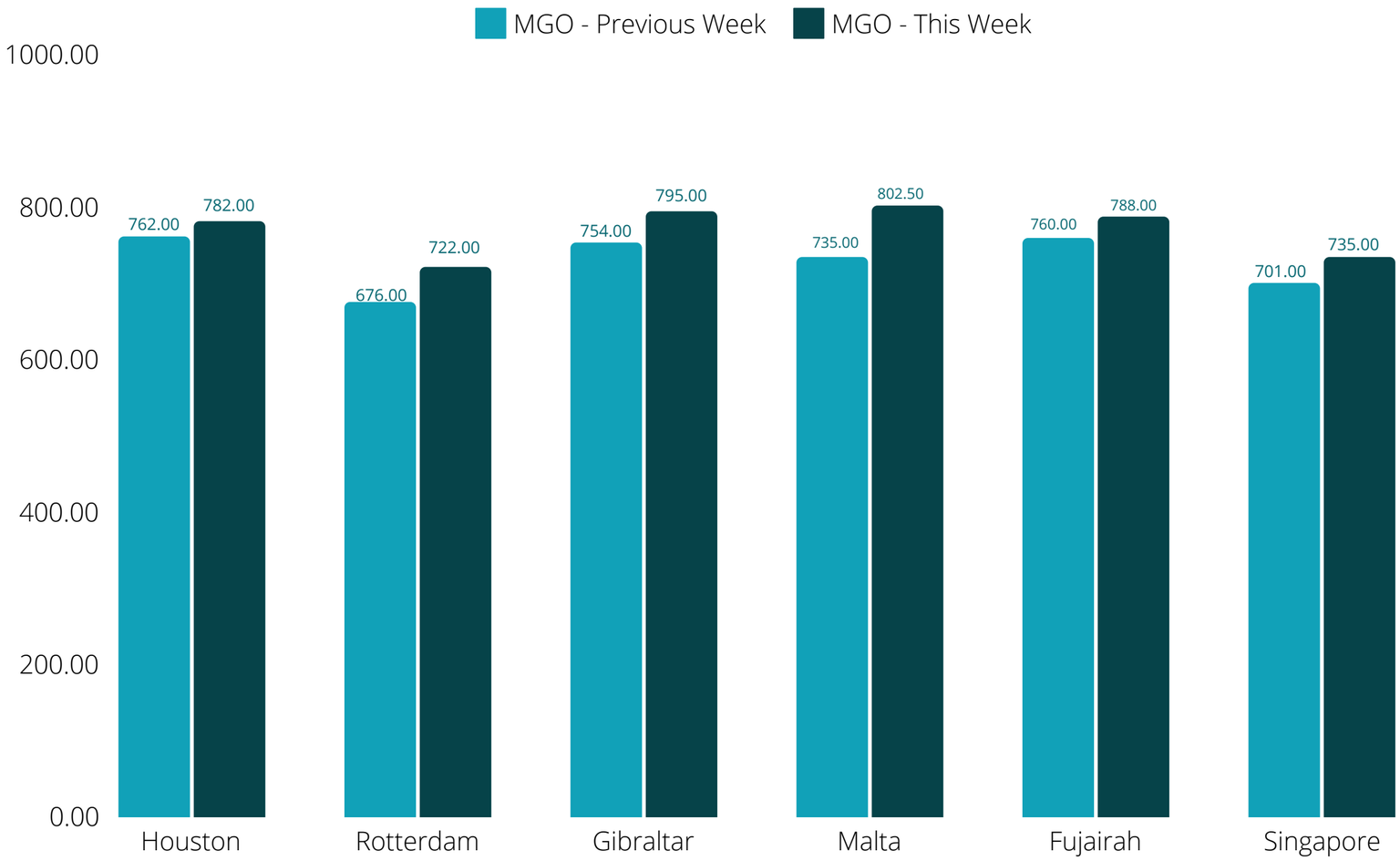


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 81.63
Previous Week	: 78.01
Movement	: + 3.62

WTI Crude

This Week	: 79.13
Previous Week	: 74.97
Movement	: + 4.16

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
WEST OCEAN 22	GENERAL CARGO SHIP	8912871	1993	TURKIYE	2,968.00	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED

Contact Us

Germany

Mr. Gerd Leopold
S&P Consultant

Phone: +49 417 188 0204
Mobile: +49 172 370 1021

Greece

Mr. Yiannis Kourkoulis
Vice President purchase

Phone: +30 210 0101 450

Mobile: +30 694 258 3977

Ms. Irini Mylona
Commercial Executive

Phone: +30 210 0101 450
Mobile: +30 694 484 3136

South Korea

Mr. Jason K.M. Byun
Company Representative

Phone: +82 010 6282 0121

U.A.E.

Mr. Naren Sampath
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 55 836 9147

Mr. Asif Ali
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 58 645 0162

Mrs. Simran Chugh
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 52 463 4716

China

Mr. Xinchen Xu
Company Representative

Mobile: +86 136 6600 0719

Japan

Mr. T Ishii
Company Representative

Work: +81 354 522 405
Mobile: +81 901 536 1497

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